LET'S SOLVE A CONSULTING CASE

PROBLEM STATEMENT

The client is an FMCG conglomerate who has witnessed a decline in profits for their Mango Shake product recently. The market share dropped from 98% to 45% in 2 years. You have been hired to find out the root cause for the same.

INTERVIEW THREAD

Interviewee: So, just to clarify the question - our client is an FMCG conglomerate which has witnessed a significant decline in its Mango shake's business profits. I have to identify the reason behind it, correct?

Interviewer: Correct. Please go ahead.

Interviewee: Before getting to the analysis, I would want to know if this is an industry-wide problem or just company specific.

Interviewer: This is just a company-specific issue. Our competitors are doing fine.

Interviewee: Okay, since profits are declining, and it is a function of revenues and costs, do we have any information regarding which of these factors have changed?

Interviewer: Yes, our revenues have gone down by 10% and costs have increased by 5%.

Interviewee: I will first analyze the revenue side. So, has our price gone up?

Interviewer: No, the prices have remained the same but the sales have gone down.

Interviewee: Okay, so I will map the value chain first. So there are 3 segments in the value chain - Production, Distribution and Customer Pull. Are there any changes in these parameters?

Interviewer: Assume there are no changes in production and distribution. It has remained the same. You can move on to other parameters.

Interviewee: Okay. Has our product changed with respect to our competitors in terms of physical appearance, size or taste?

Interviewer: Yes, we have reduced the size of bottles, but appearance and taste are at par with our competitors.

Interviewee: Have our productions decreased? Since we are losing on our market share.

Interviewer: Good Question. We had to reduce the production due to declining demand.

Interviewee: That's reasonable; our fixed cost/bottle has increased then. Is it a price-sensitive market? Also, what do we know about our closest competitor?

Interviewer: Yes, it's a price-sensitive market. Our product is priced at Rs. 300 per litre while competitors' product is Rs. 250 per litre. All that we know about our competitors is that they are profitable.

Interviewee: Okay, so we should analyse the cost segment as well. Is there any change in our fixed costs or variable costs?

Interviewer: Fixed costs have not changed, but we have seen an increase in our variable costs.

Interviewee: So, do we have information on which segment of variable cost has increased? - raw materials, manufacturing, packaging or sales and marketing?

Interviewer: Good Question. So we changed our mango supplier, and our raw material cost has gone up slightly.

Interviewee: Okay, so this is one of the reasons for the increased cost. Since our product is priced Rs.50 more than competitors, we have to work on cost reduction and production increment.

Interviewer: That's right, we want to target our product price at Rs. 250 per litre. We also have information about our costs in the current period. Distribution cost is priced at 25% of revenue, raw material cost is Rs. 50, variable cost is Rs. 95, and fixed cost is Rs. 75. What can you conclude?

Interviewee: So our bottle is priced at Rs. 300, which means our profits are Rs. 5 per bottle. Do we want to maintain this profit?

Interviewer: We want to increase our profit by 20%. Also, assume no changes in labour costs.

Interviewee: Okay, so our target cost of the bottle should be Rs. 244 since we will sell it for Rs. 250. And we know that production of the unit decreased, which means that fixed cost/ bottle also increased.

Interviewer: That's right. Now tell me what could be done to reach the set target.

Interviewee: For a reduced price of Rs. 250, our distribution costs will now be Rs. 65. And variable cost will be the same at Rs. 95 per bottle. However, we can focus on reduction of fixed and raw material cost. These need to be Rs. 84 per bottle.

Interviewer: What should be sales volume, if current volume is 1.5 Million units?

Interviewee: The current volume should be approximately 2.2 million as 1.5*(125/84) to achieve the target cost of the bottle which will be 0.7 Million additional sales. With this, you will also have an increased profit of Rs 6 per bottle.

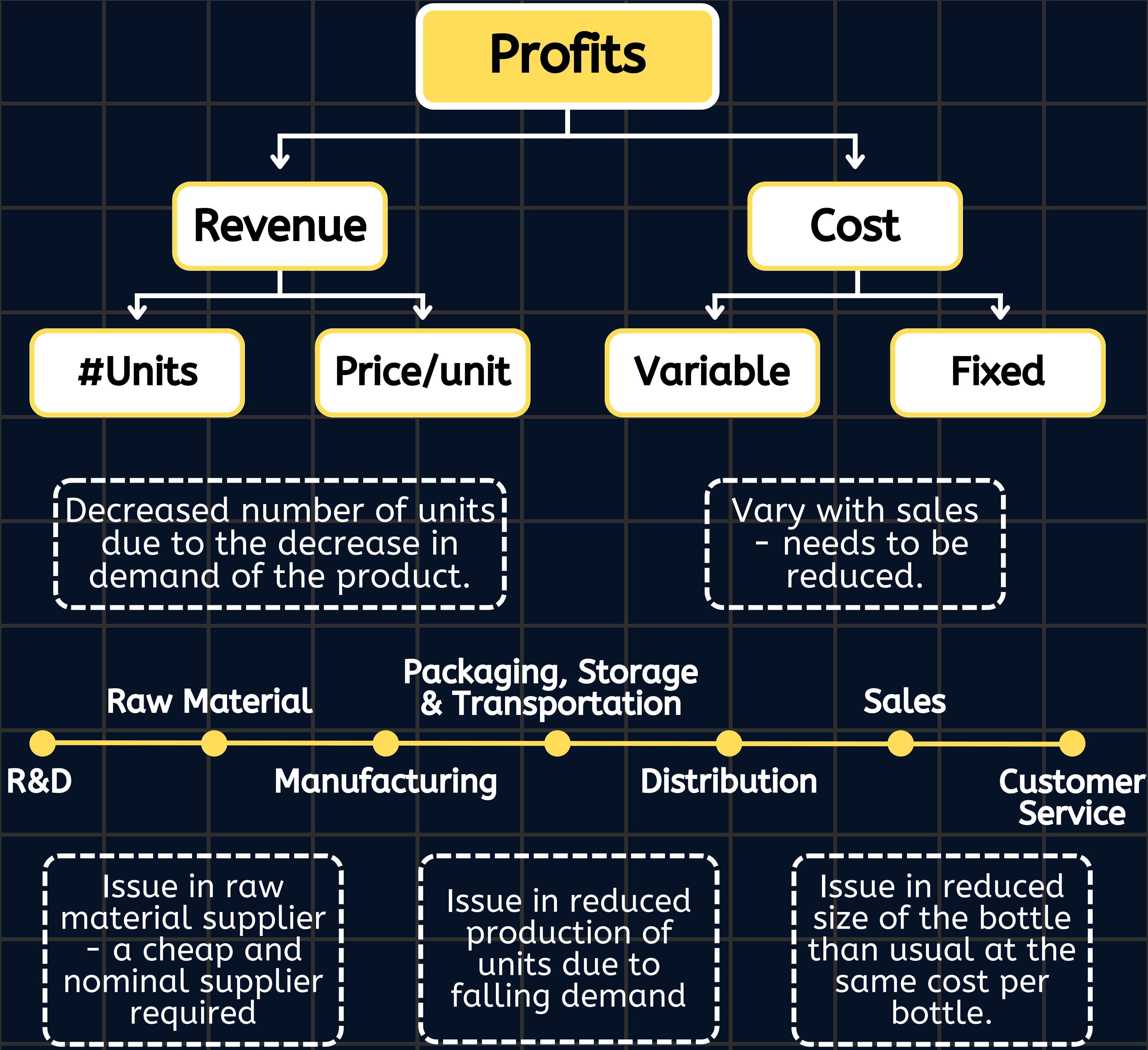
Interviewer: That’s right. You are on track. So can you summarise all the proposed solutions.

Interviewee: Yes, so the size of the bottle needs to be back as usual; the cost of raw material and fixed cost has to be reduced drastically; and the sales units have to be increased i.e increased production units.

Interviewer: Sure. Good Job! Thank You!

THAT’S A WRAP!

FRAMEWORK


Profits
Revenue
Cost
#Units
Price/unit
Variable
Fixed
Decreased number of units due to the decrease in demand of the product.
Vary with sales - needs to be reduced.
Raw Material
Packaging, Storage & Transportation
Sales
R&D
Manufacturing
Distribution
Customer Service
Issue in raw material supplier - a cheap and nominal supplier required
Issue in reduced production of units due to falling demand
Issue in reduced size of the bottle than usual at the same cost per bottle.

HOPE YOU LEARNED SOMETHING NEW!

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